

FEDERAL MARITIME COMMISSION

DOCKET NO. 21-09

**HAPAG-LLOYD, A.G. and HAPAG-LLOYD (AMERICA) LLC. —POSSIBLE
VIOLATIONS OF 46 U.S.C. § 41102(c)**

**MOTION TO QUASH RESPONDENTS' SUBPOENA FOR ATTENDANCE AT
DEPOSITION**

I. BACKGROUND

The Federal Maritime Commission (FMC or Commission) issued an Order of Investigation and Hearing (Order of Investigation) designating the Bureau of Enforcement (BOE) a party to this proceeding. Order of Investigation at 6. During the course of discovery, the Commission was served a subpoena for deposition pursuant to 46 C.F.R. §§ 502.114 and 502.135. See Respondents' Subpoena for Attendance at Deposition, Docket No. 21-09 (Respondents' Subpoena). BOE objects to Respondents' Subpoena because it improperly seeks to depose the Commission, discover irrelevant information, as well as information that is privileged from disclosure under both attorney client and deliberative process privileges. Further, Respondents' Subpoena creates an undue burden. Accordingly, pursuant to 46 C.F.R. § 502.132(c) BOE moves to quash Respondents' Subpoena.

Rule 132 of the Commission's Rules of Practices and Procedure (Commission Rules), 46 C.F.R. § 502.132(c), states that "the person to whom the subpoena is directed may move to quash or modify the subpoena" Commission Rule 12, 46 C.F.R. § 502.12, also applies the Federal Rules of Civil Procedure to the "extent that they are consistent with sound administrative practice." In this matter, the Commission Rules do not elaborate what grounds the

Administrative Law Judge (ALJ) must quash or modify a subpoena, but Federal Rule 45 of Civil Procedure states that “[the presiding officer] must quash or modify a subpoena that . . . (iii) requires disclosure of privileged or other protected matter, if no exception or waiver applies; or (iv) subjects a [party] to undue burden.” F.R. Civ. Proc. 45 (d)(3)(A)(iii),(iv).

On January 31, 2022, the Secretary of the Commission received Respondents’ Subpoena commanding the Commission to attend a deposition which would take place on February 4, 2022 at 9:00am. Respondents’ Subpoena detailed the following five areas of examination:

1. The “unprecedented stress being placed on the supply chain” referred to in the Order, and the causes of same.
2. How the waiver of the requirements of 46 C.F.R. §502.63(d) in this proceeding will help alleviate the “unprecedented stress being placed on the supply chain.”
3. The “significant role that unreasonable detention plays in congestion and freight fluidity.”
4. The Commission’s understanding of when empty containers cannot be returned, including what constitutes evidence that appointments are unavailable.
5. The extent of a Motor Carrier’s obligations to make efforts to secure an appointment to return an empty container to a marine terminal

Respondents’ Subpoena, Schedule A at 1.

II. DISCUSSION

BOE submits that Respondents’ Subpoena must be quashed for four reasons: the deposition improperly seeks to depose a potential adjudicatory body in this proceeding; the areas of examination are irrelevant to the issues before the court; the information sought is privileged; and the subpoena creates an undue burden.

A. Impropriety

First, it is improper for the Commission, as the potential final adjudicator, to be deposed under 46 C.F.R. § 502.135 or 502.143(b)(6) for matters relating to its decision to issue an order of investigation and hearing. See 46 C.F.R. §§ 502.221, 502.225. In essence, Respondents seek to depose a judge in advance of such judge rendering a decision.

Areas of examination 4 and 5 are similarly inappropriate, as they ask the Commission to prejudge a potential finding of law in this enforcement action before the ALJ has had an opportunity to issue her ruling on those topics, and before the Commission has had an opportunity to review her Initial Decision. This would contradict the separation of functions as required by the Commission's Rule 224. See 5 U.S.C. § 554(d); 46 C.F.R. § 502.224.

B. Irrelevance

Second, BOE objects to areas of examination 1-3 as being irrelevant to the issues before the court, namely, the allegation that Respondents have violated 46 U.S.C. § 41102(c). Areas of examination 1-3 relate to the Commission's waiver of the requirements of 46 C.F.R. §502.63(d) which is outside the purview of this proceeding and irrelevant to whether Respondents violated 46 U.S.C. § 41102€. Area of examination 5 is irrelevant as it seeks to suppose the Commission impose regulatory requirements on an entity outside its jurisdictional authority.

C. Privilege

Third, BOE objects to each area of examination for improperly requiring the disclosure of privileged information. See 46 C.F.R. § 502.141(e)(1) (limiting the scope of discovery to nonprivileged matters that are relevant to a party's claim). For areas of examination 1-3, any information considered by the Commission in deciding whether to issue a notice of investigation and hearing is predecisional and deliberative and therefore protected from disclosure under the deliberative process privilege. See Exclusive Tug Franchises – Marine Terminal Operators Serving the Lower Mississippi River, 2002 FMC LEXIS 12, *12-13 (FMC Apr.12, 2002). For areas of examination 4-5, any

communications by agency attorneys, agency staff, and/or and the Commission, is further protected from disclosure by the attorney work product privilege. Id. at *16-17.

D. Undue Burden

Fourth, BOE objects to the issuance of Respondents' Subpoena pursuant to 46 C.F.R. §§ 502.114 and 502.135 as it creates an undue burden to the Commission. Given the degree to which the areas of examination are both irrelevant and pertain to privileged information, there is little to no evidence that could be obtained during the deposition that would assist the development of the factual record in this proceeding. BOE instead asserts that it would be subject to undue burden to be put in the position to answer the five areas of examination at deposition during an ongoing proceeding where the Commission has already designated the BOE as a party. See Order of Investigation at 6.

Additionally, Respondents' Subpoena unreasonably requests the Commission speak as a single body through a deposition. Respondents' Subpoena at 1. Under 46 C.F.R. § 501.2, the Commission speaks instead through its established procedures such as a vote or opinion, not by providing evidence in litigation before the Commission. While 46 C.F.R. § 502.143(b)(6) specifies that a party may depose "a governmental agency" and that such party may designate "other persons who consent to testify on its behalf,"¹ such a deposition would be one relating to factual information or expert knowledge. Respondents' Subpoena seeks neither.

¹ To best fulfill its mission, the Commission is organized by eight (8) different offices with different lines of responsibility and functions. See 46 C.F.R. §§ 501.3–5. Each office, and each bureau is then delegated different responsibilities, and has its own areas of expertise. See 46 C.F.R. §§ 501.21–28. No individual office or bureau is granted the authority to speak for the Commission as a whole, outside of established procedures. See generally 46 C.F.R. §§ 501.2, 501.5 (denoting the functions of the organizational components of the Commission), 501.21 (denoting the delegated authorities to the organizational components of the Commission).

III. CONCLUSION

Pursuant to 46 C.F.R. § 502.71, BOE notified opposing counsel via electronic mail on February 1, 2022, one day after receiving Respondents' Subpoena on the Commission, that BOE intends to file this motion. Opposing counsel informed BOE that they would oppose this motion via electronic mail. BOE and opposing counsel then conferred on February 2, 2022 to discuss the motion and attempt to narrow the areas of disagreement.

For the foregoing reasons, BOE respectfully requests that the ALJ issue an order to quash Respondents' Subpoena.

DATED: February 2, 2022

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that on this 2nd day of February 2022, a copy of the foregoing Motion to Quash Respondents' Subpoena for Attendance at Deposition has been served upon all counsel of record in accordance with 46 C.F.R. Part 502.

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